



INVESTOR PRESENTATION FINANCIAL RESULTS FOR PERIOD ENDED 30 JUN 2014

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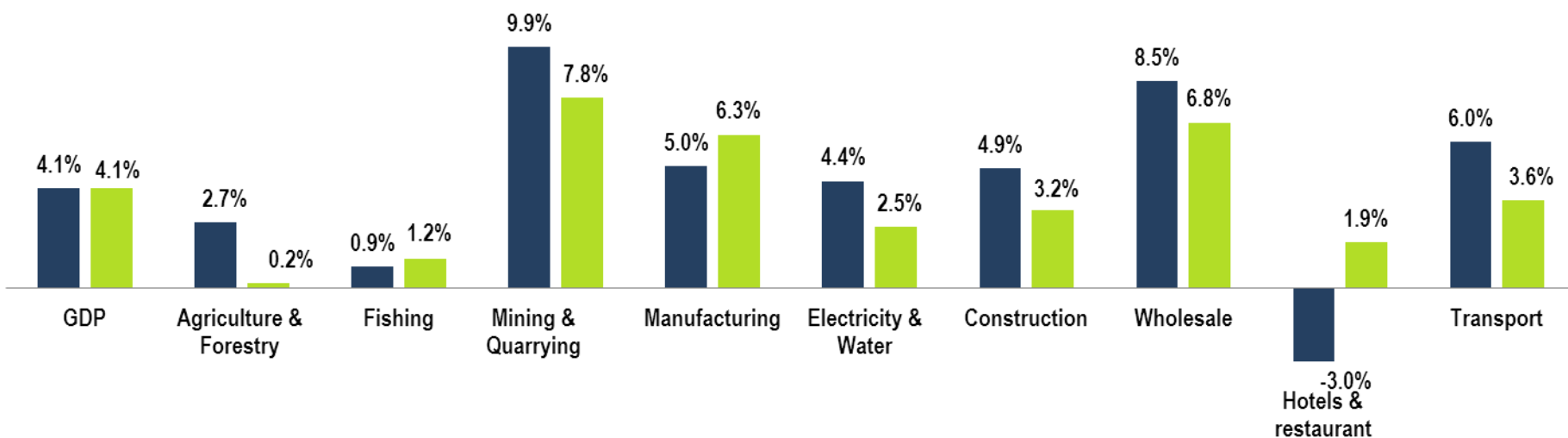


MACRO-ECONOMIC ENVIRONMENT

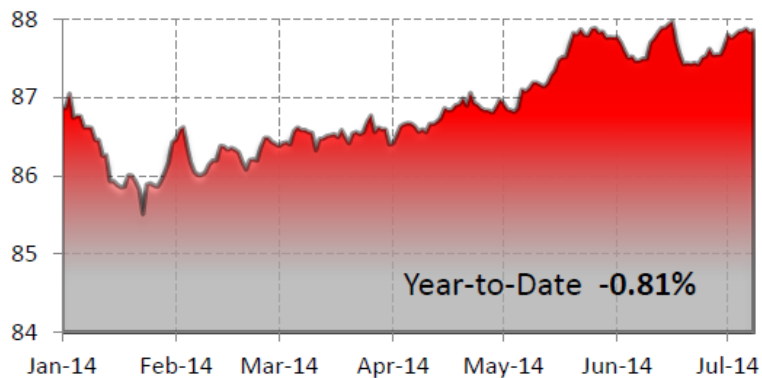
- The World Bank lowered Kenya's economic growth forecast for this year and next after a delay in seasonal rains reduced the outlook for agricultural production and amid worsening insecurity.
- Kenya will probably expand at 4.7% percent in 2014 and 2015 which is lower than the 5.1% and 5.2% initially projected.

GDP Contribution by Sector

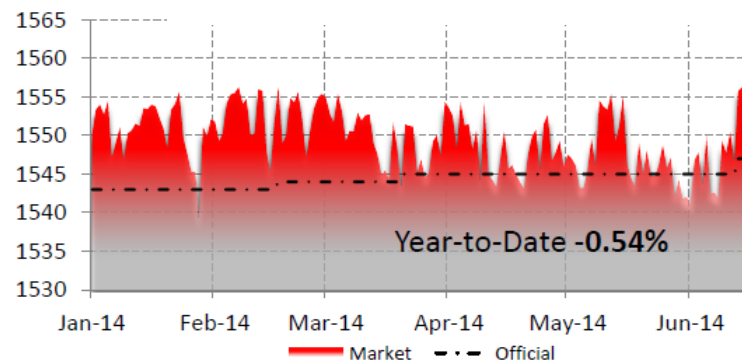
■ 1Q14 ■ 4Q13



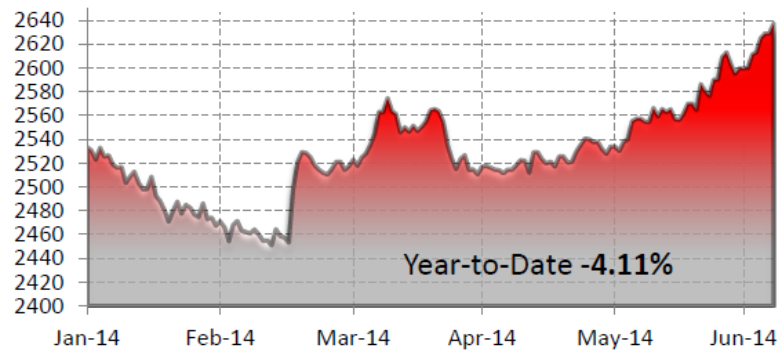
KENYA



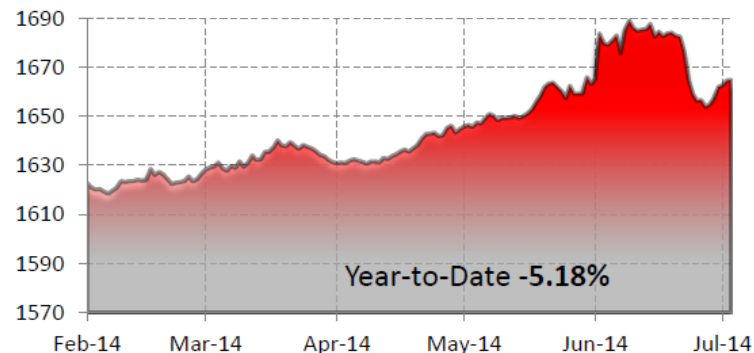
BURUNDI



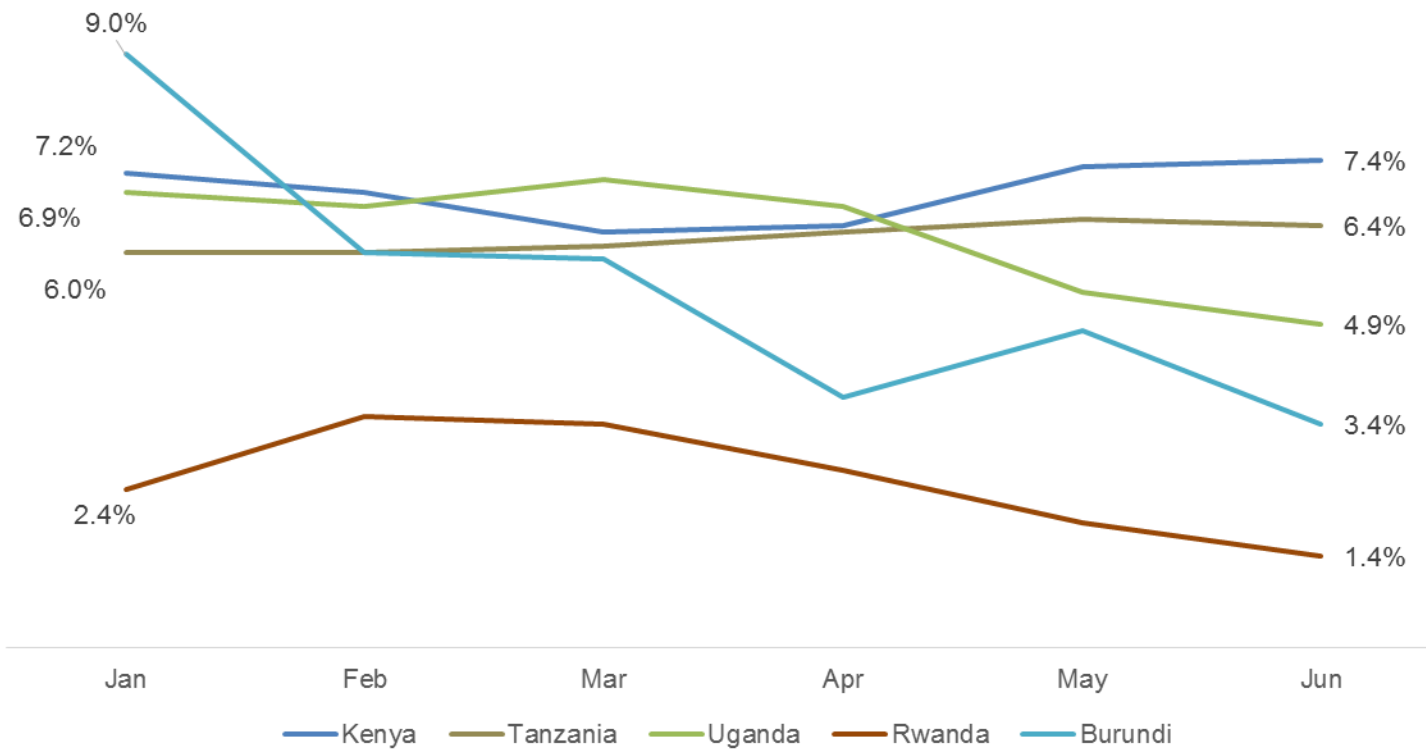
UGANDA



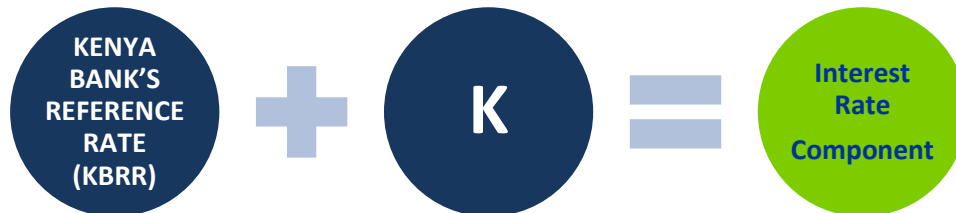
TANZANIA



6 Month EAC Inflation

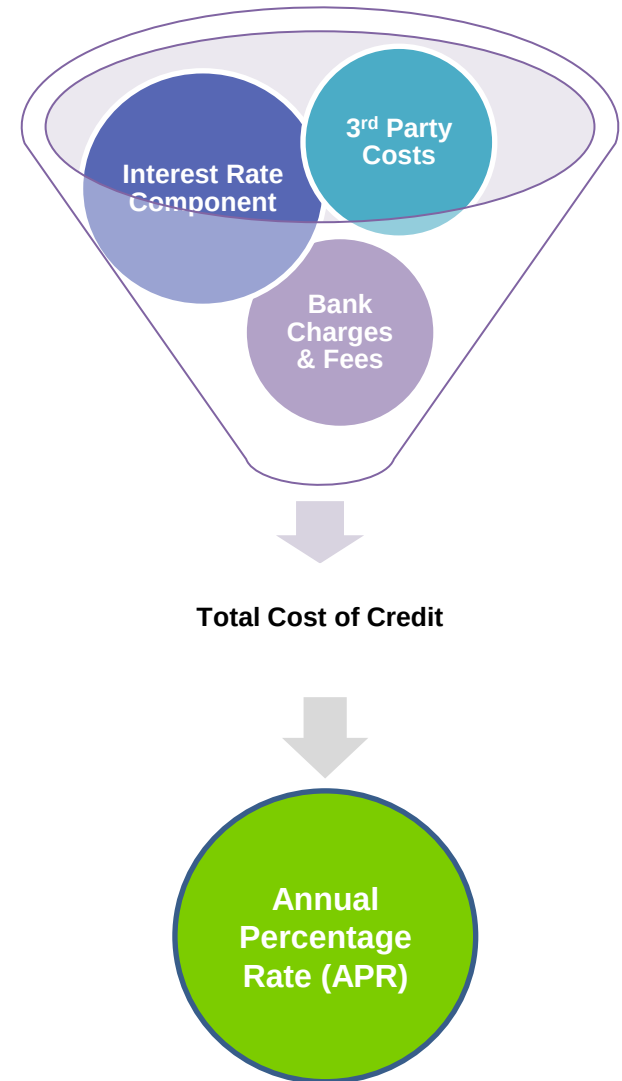


- The Monetary Policy Committee (MPC) set the Central Bank Rate (CBR) at 8.50 percent
- The Central Bank of Kenya (CBK) set the KBRR at 9.13 percent
- KBRR will be used by Banks and Mortgage Finance Companies to price their flexible/variable credit facilities with effect from 8th July 2014.



- Factors:
- CBR
 - 91 Day T-Bill Rate

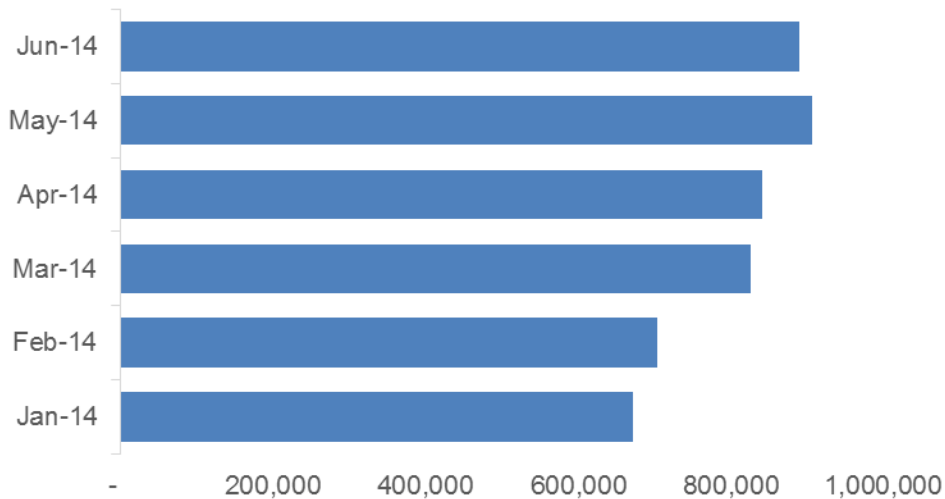
- Factors:
- COF
 - Statutory Ratios
 - Administrative Costs
 - Loss Provisions
 - Risk Premium
 - Profit Margin



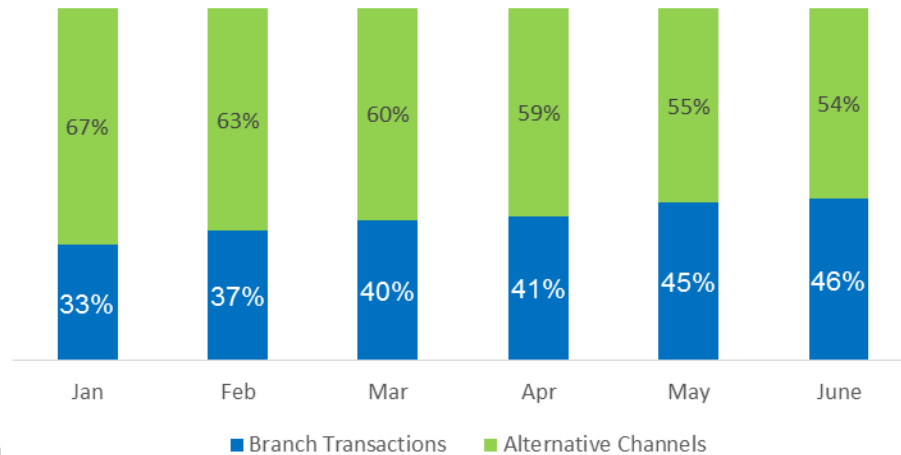
KCB | KEY STRATEGIC THEMES



Mobile Banking Transactions in 2014

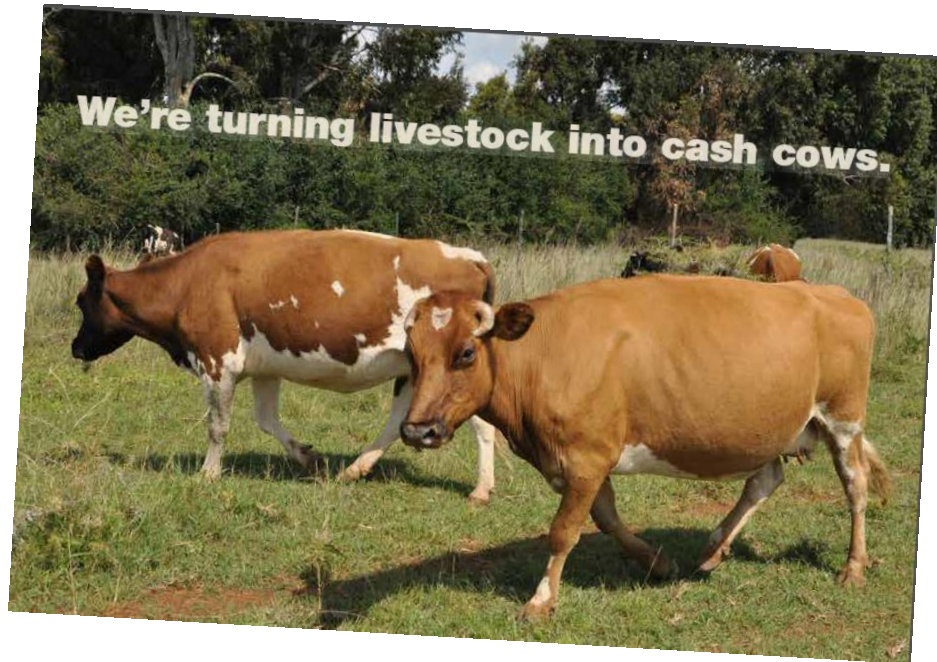


Evolution of transactions in Alternative Channels



- Sustained growth in utilization of alternative channels
- Successful migration to EuroPay Mastercard Visa (EMV)
- Initialization of the core banking refresh

KShs 1 BILLION IN LIVESTOCK INVESTMENT



CASH LITE PLATFORMS



Access to Finance

Build capacity

Scale up and grow

- Speed
- Ease of Access
- Business Insurance
- SME Toolkit
- Comprehensive Information Access
- Single Contact Point

SOLUTION

JOINT PROPOSITION

- Bundled financial and communication solutions.
- One Contact Center
- One Online Portal
- One Club

Welcome to Biashar@Smart, Please select from the list below

Biashar@Smart Tips

Biashar@Smart Starter Pack

Biashar@Smart Finance

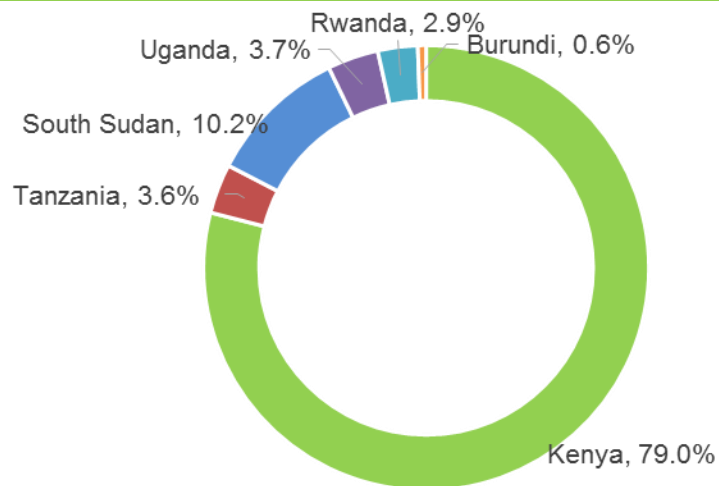
Biashar@Smart Products

Biashar@Smart Club

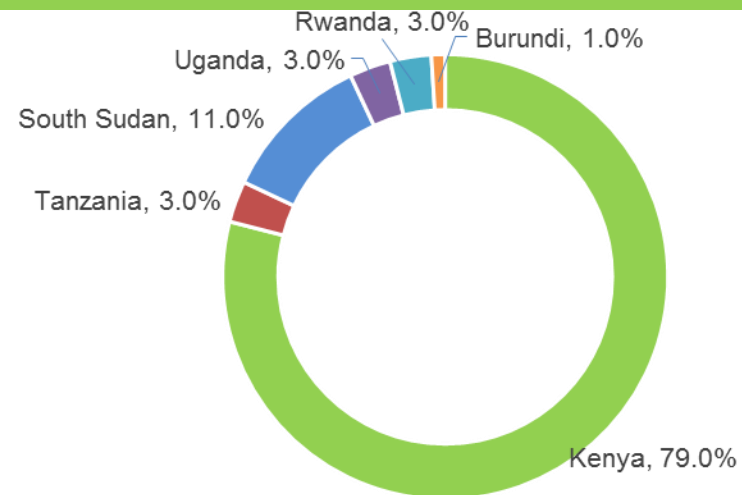
Get in Touch With Us



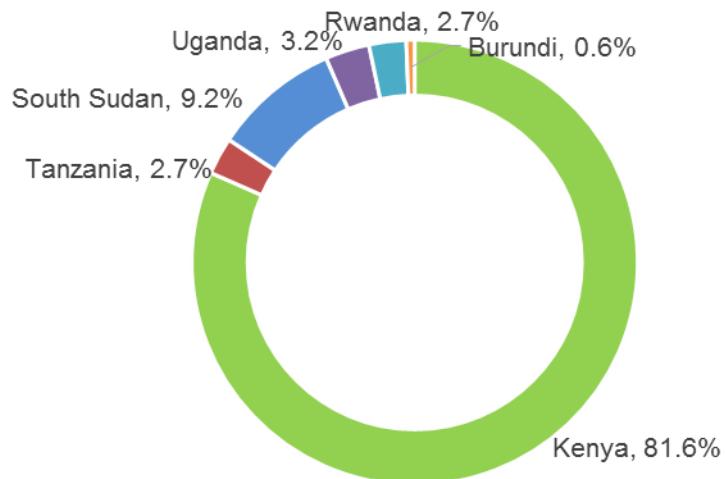
Total Assets Contribution 2014



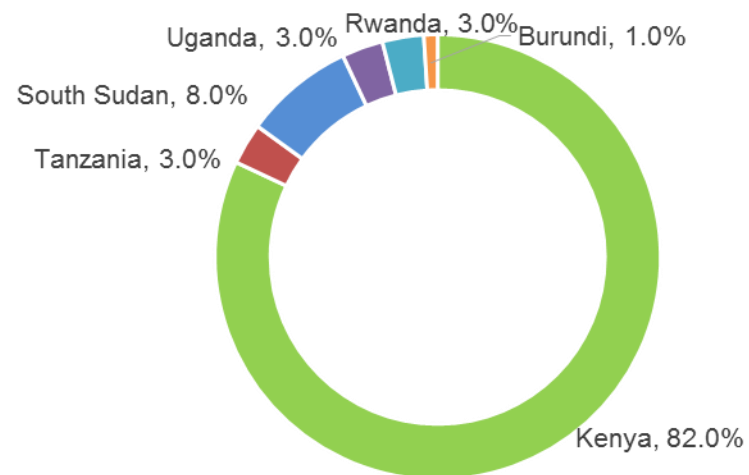
Total Assets Contribution 2013

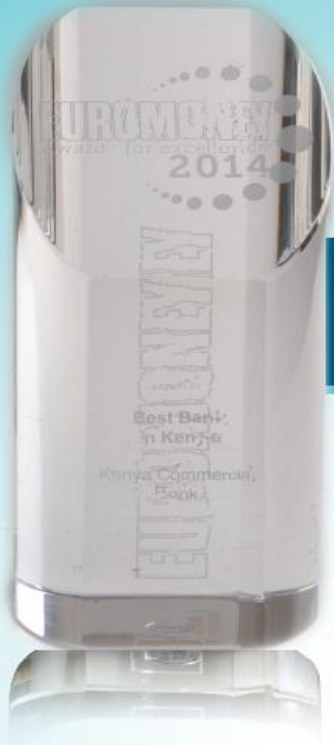


Total Revenue Contribution 2014



Total Revenue Contribution 2013





**EUROMONEY
AWARDS
— FOR —
EXCELLENCE
— 2014 —**

**BEST BANK IN
KENYA**

KCB warmly thanks you; our Customers, Staff, Board of Directors and Stakeholders for the 'Best Bank in Kenya' award. This is a true reflection of our desire and commitment to partner with you through offering excellent financial solutions.

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GCR

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Local Expertise • Global Presence

GCR Affirms KCB's Rating of AA(KE); Outlook Stable.



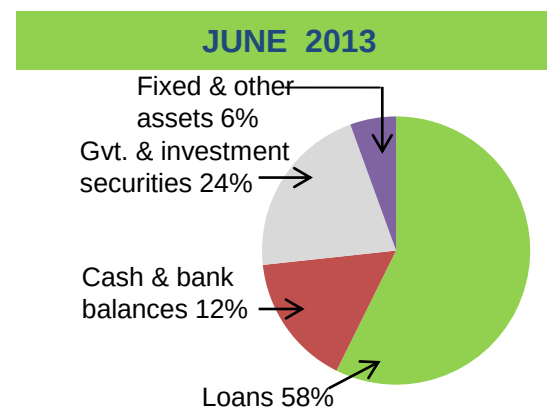
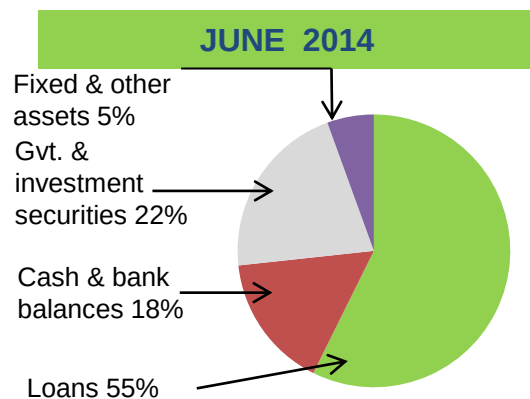
The Banker ranks KCB as the world's 846th largest bank Based on Assets

The Banker ranks KCB as Africa's 3rd best Bank Based on ROA

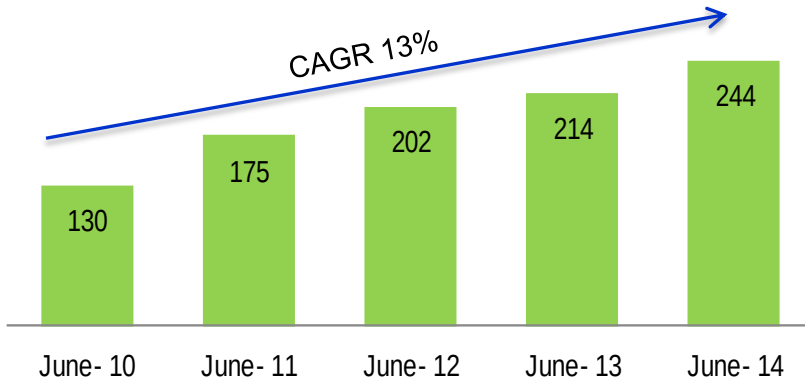


Q2 FINANCIAL RESULTS

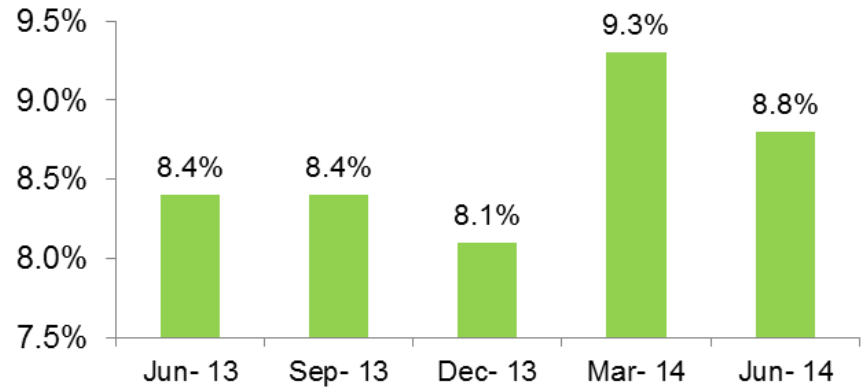
	ACTUAL JUNE 2014	ACTUAL JUNE 2013	% Y-O-Y Change	ACTUAL DEC 2013
Asset Portfolio				
Cash and balances with Central Bank	25,486	26,561	(4%)	23,933
Balances with other institutions	51,787	18,455	>100%	20,409
Investments in Government securities	93,330	88,212	6%	90,938
Investment securities	2,008	2,259	(11%)	2,058
Net loans and advances	244,014	214,085	14%	227,722
Fixed assets	9,889	10,016	(1%)	10,030
Other assets	13,188	11,324	16%	15,762
Total Assets	439,701	370,911	19%	390,852



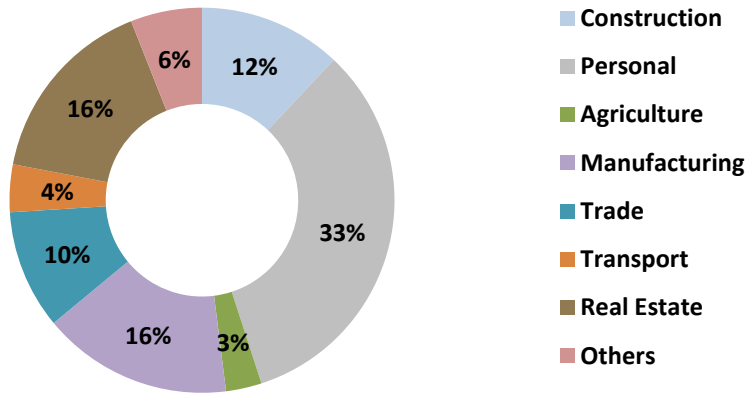
Net Loans & Advances (KShs. Bn)



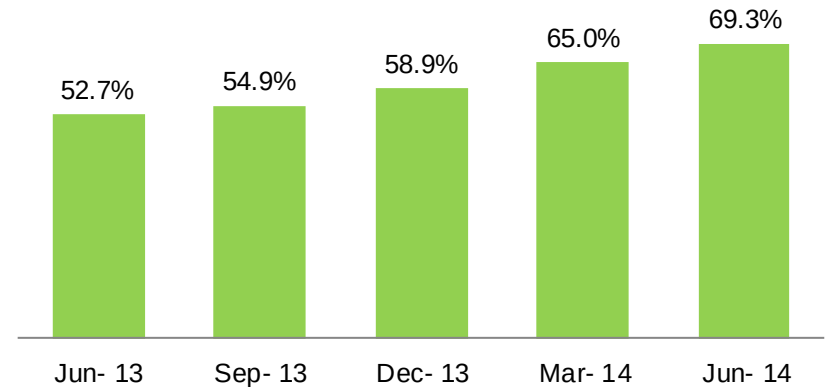
NPL Ratio



Loan segmentation

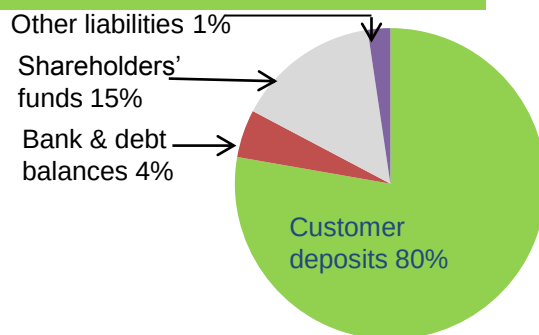


Coverage Ratio

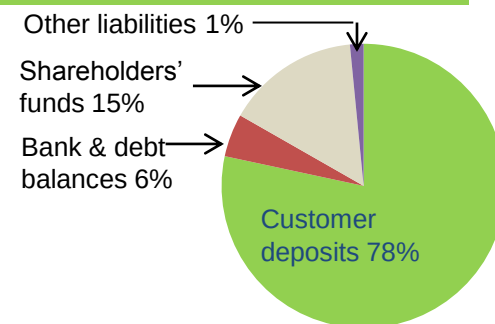


	ACTUAL JUNE 2014	ACTUAL JUNE 2013	% Y-O-Y Change	ACTUAL DEC 2013
Funding Portfolio				
Customer Deposits	351,603	287,721	22%	305,659
Balances due to other banks	3,639	13,481	(73%)	6,651
Other liabilities	6,488	5,671	14%	7,467
Long-term debt	13,117	8,208	60%	7,720
Total Liabilities	374,846	315,081	19%	327,497
Share capital	2,984	2,984	-	2,984
Reserves and premium	61,870	52,845	17%	60,371
Shareholders' Equity	64,855	55,830	16%	63,355
Total Liabilities and Equity	439,701	370,911	19%	390,852

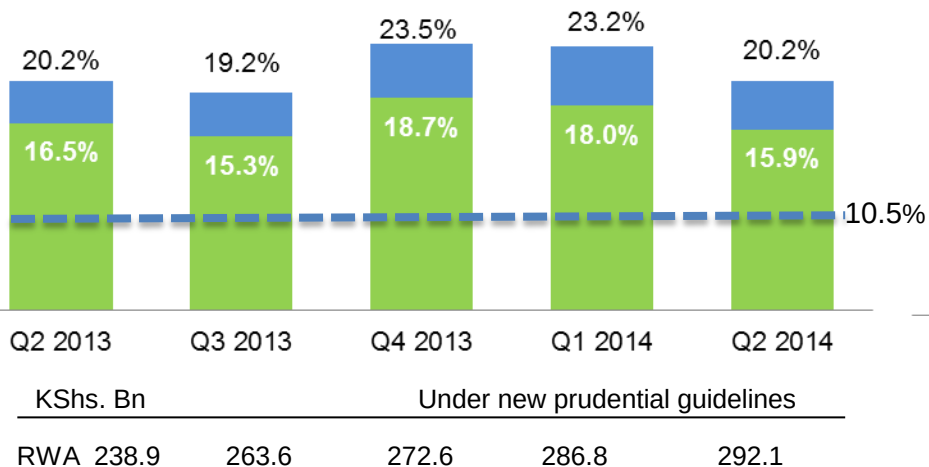
June 2014



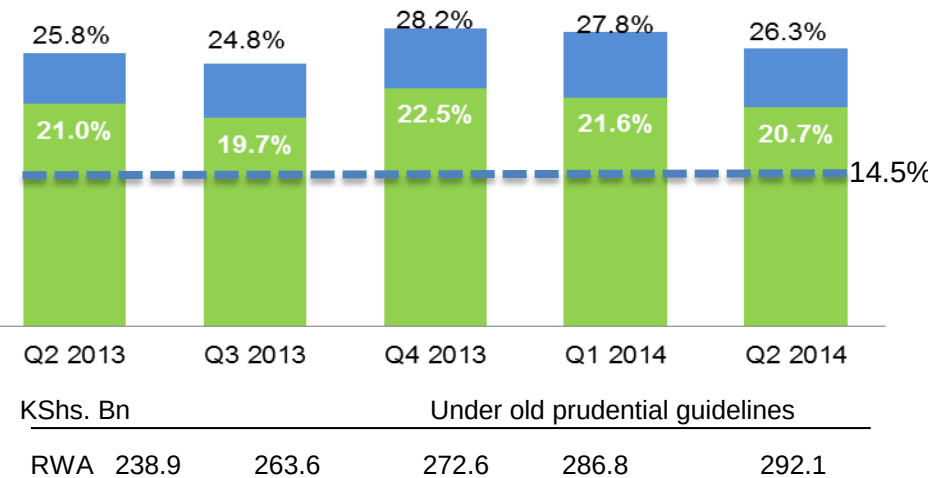
June 2013



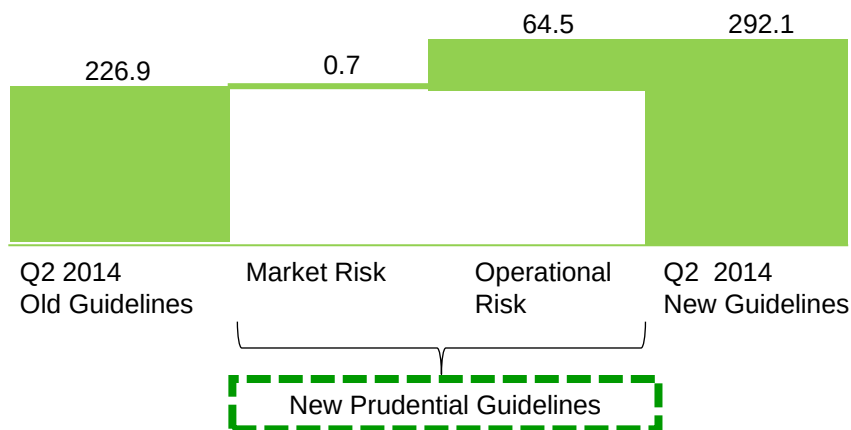
Core Capital/Total Risk Weighted Assets



Total Capital/Total Risk Weighted Assets



RWA Evolution (KShs. Bn)



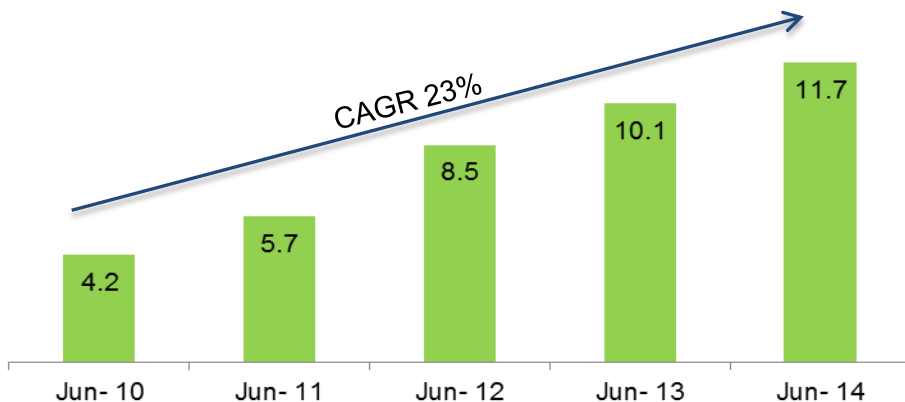
→ Minimum ratios revised upward; CC/RWA from 8% to 10.5% and TC/RWA from 12% to 14.5%

	ACTUAL JUNE 2014	ACTUAL JUNE 2013	Y-o-Y % Change	ACTUAL DEC 2013
Net interest income	17,134	16,053	7%	32,984
Foreign exchange income	2,220	1,777	25%	3,710
Gross fees and commissions	5,669	5,035	13%	10,501
Other income	1,410	477	>100%	1,005
Total operating income	26,433	23,342	13%	48,200
Total operating expenses	(13,649)	(11,691)	16%	(25,941)
Exceptional expenses (VER)	-	(997)	(100%)	(1,139)
Net provisions for bad debts	(1,120)	(558)	>100%	(996)
Profit before tax	11,674	10,096	16%	20,124
Tax	(3,502)	(2,904)	21%	(5,782)
Profit after tax	8,172	7,192	14%	14,342

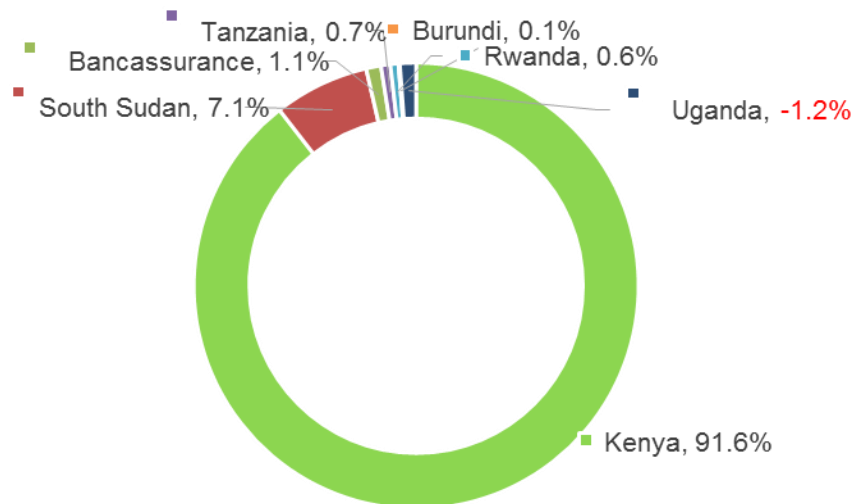
PBT up by 16% to KShs. 11.7Bn. from KShs. 10.1Bn as at the same period last year, supported by;

- Increase in net interest income by 7% due to higher lending volumes
- Growth in gross fees and commissions of 13%. Going forward focus is to grow non-funded income
 - Drive utilization of alternative channels
 - Strategic partnership

PBT Growth (KShs. Bn.)

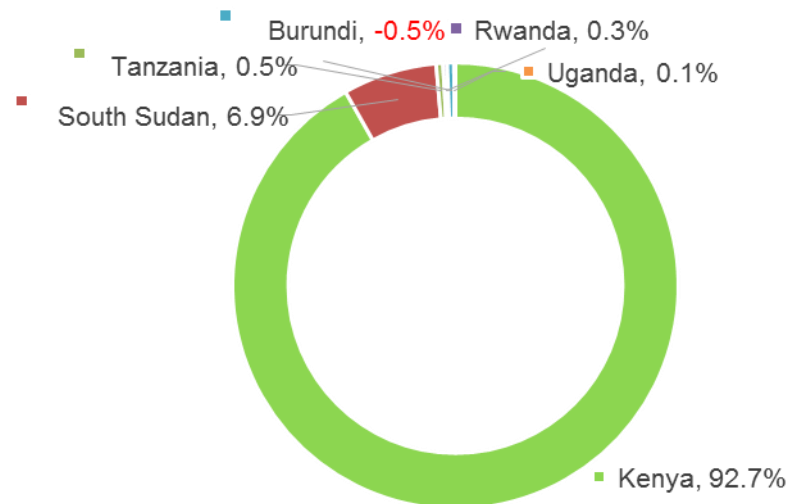


Distribution of PBT by Region-June 2014



- Strong five year CAGR of 23% due to
 - Investment in innovation and technology
 - Increased customer numbers
 - Improved operational efficiency
 - Investment in alternative channels
 - Improved returns from regional operations

Distribution of PBT by Region-June 2013



KCB | **THANK YOU**